

Alpha Financial Markets Consulting Limited

**Annual report and financial
statements**

Registered number 04710715

31 March 2016



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Company information

Directors

Mr N Baker
Mr J Benson
Mr N Curham
Mr J Docker
Mr G Faragher-Thomas
Mr N Fienberg
Mr E Fraser
Mr B Lantorp
Mr S McNulty
Mr J Reed
Mr M Smith
Mr D Spencer
Ms N Spencer

Secretary

Mr N Baker

Company number

04710715

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Bankers

HSBC Bank PLC
28 Borough High Street
Southwark
London
SE11YB

Strategic report

Business review

The company continued to perform well during the year, achieving an increase in turnover of 11% from £23,797,000 to £26,462,000. Trade Debtors increased to £4,528,000 from £4,319,000, an increase of 4.8% due in part to the increase in revenue and in part to an increase in average invoice value as a result of larger project sizes, an effect which has been offset somewhat by good debt recovery. There are no concerns about the recoverability of the main debtors.

Future developments

The business plan developed by the directors shows growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the company is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management continue to operate conservative cash management policies.

By order of the board



Mr E Fraser
Director

Date: 29 September 2016

Directors' report

The directors present their report and the audited financial statements for the year ended 31 March 2016.

Principal activities and review of the business

The principal activity of the company continued to be the provision of consulting and related services to clients in the asset and wealth management industries.

Results and dividends

The results for the year are set out on page 6.

No interim ordinary dividend was paid (2015: £4,850,000). The directors do not recommend payment of a final dividend (2015: £nil).

After deducting taxation and dividends, £4,923,000 was transferred to reserves (2015: £796,000 transferred from reserves).

Directors

The following directors have held office during the period and to the date of this report.

Mr N Baker
Mr J Benson (appointed 1 April 2016)
Mr N Curham
Mr J Docker
Mr G Faragher-Thomas
Mr N Fienberg
Mr E Fraser
Mr B Lantorp
Mr S McNulty
Mr J Reed (appointed 1 April 2016)
Mr M Smith
Mr D Spencer
Ms N Spencer

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



Mr E Fraser
Director

60 Gresham Street
London
EC2V 7BB

Date: 29 September 2016

Statement of directors' responsibilities in respect of the annual report and the financial statements

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities.



Independent auditor's report to the members of Alpha Financial Markets Consulting Limited

We have audited the financial statements of Alpha Financial Markets Consulting Limited for the year ended 31 March 2016 set out on pages 6 to 16. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2016 and of its profit for the year then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Mark Flanagan (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants

St Nicholas House
Park Row
Nottingham NG1 6FQ

Dated: 29 September 2016

Statement of income and retained earnings
for year ended 31 March 2016

	<i>Note</i>	2016 £000	2015 £000
Turnover	2	26,462	23,797
Cost of sales		(16,477)	(15,972)
Gross profit		9,985	7,825
Administrative expenses		(4,265)	(3,122)
Operating profit		5,720	4,703
Other interest receivable and similar income	6	13	6
Profit on ordinary activities before taxation		5,733	4,709
Tax on profit/(loss) on ordinary activities	7	(810)	(655)
Profit for the financial year		4,923	4,054
Retained earnings at the start of the financial year		5,398	6,194
Dividends declared and paid		-	(4,850)
Retained earnings at the end of the financial year		10,321	5,398

In both the current and preceding year, the company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The attached notes form part of these financial statements.

Balance sheet
at 31 March 2016

	Note	2016 £000	2015 £000
Fixed assets	8		
Tangible assets		279	281
		279	281
Current assets			
Debtors	9	10,448	5,839
Cash at bank and in hand		5,052	4,182
		15,500	10,021
Creditors: amounts falling due within one year	10	(5,170)	(4,606)
Net current assets		10,330	5,415
Total assets less current liabilities		10,609	5,696
Provisions for liabilities			
Deferred tax liability	11	(13)	(23)
Net assets		10,596	5,673
Capital and reserves			
Called up share capital	12	275	275
Profit and loss account		10,321	5,398
Shareholders' funds		10,596	5,673

These financial statements were approved by the board of directors on 29 September 2016 and were signed on its behalf by:



Mr E Fraser
Director

Company registered number: 04710715

The attached notes form part of these financial statements.

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Limited (the "Company") is a company limited by shares and incorporated and domiciled in the UK.

These financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard* applicable in the UK and Republic of Ireland ("*FRS 102*") as issued in August 2014. The amendments to FRS 102 issued in July 2015 and effective immediately have been applied. The presentation currency of these financial statements is sterling. All amounts in the financial statements have been rounded to the nearest £1,000.

In the transition to FRS 102 from old UK GAAP, the Company has made one measurement and recognition adjustments. An explanation of how the transition to FRS 102 has affected financial position and financial performance of the Company is provided in note 17.

The Company's intermediate parent undertaking, Alpha FMC Group Holdings Limited includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha FMC Group Holdings Limited are prepared in accordance with FRS102 and are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB. In these financial statements, the company is considered to be a qualifying entity (for the purposes of this FRS) and has applied the exemptions available under FRS 102 in respect of the following disclosures:

- Reconciliation of the number of shares outstanding from the beginning to end of the period;
- Cash Flow Statement and related notes; and
- Key Management Personnel compensation.

As the consolidated financial statements of Alpha FMC Group Holdings Limited include the equivalent disclosures, the Company has also taken the exemptions under FRS 102 available in respect of the following disclosures:

- The disclosures required by FRS 102.11 *Basic Financial Instruments* and FRS 102.12 *Other Financial Instrument Issues* in respect of financial instruments not falling within the fair value accounting rules of Paragraph 36(4) of Schedule 1.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

Judgements made by the directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 1.

1.1. Measurement convention

The financial statements are prepared on the historical cost basis.

1.2. Going concern

The financial statements have been prepared on a going concern basis. The Company is a member of the Alpha FMC Group Holdings Limited group and is supported by the trading subsidiaries. The Group's forecasts and projections, taking into account reasonably possible changes in trading performance, show that the Group should be able to operate with its currently available facilities. As a consequence the Directors have a reasonable expectation that the Company is well placed to manage their business risks and to continue in operational existence for the foreseeable future. Accordingly, the Directors continue to adopt the going concern basis in preparing these financial statements.

Notes (continued)

1 Accounting policies (continued)

1.3. Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Foreign exchange differences arising on translation are recognised in the profit and loss account.

1.4. Classification of financial instruments issued by the Company

In accordance with FRS 102.22, financial instruments issued by the Company are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the company to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the company; and
- (b) where the instrument will or may be settled in the company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the company's own equity instruments or is a derivative that will be settled by the company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

1.5. Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors. If the arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Interest-bearing borrowings classified as basic financial instruments

Interest-bearing borrowings are recognised initially at the present value of future payments discounted at a market rate of interest. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6. Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

The company assesses at each reporting date whether tangible fixed assets are impaired.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of an item of tangible fixed assets. Leased assets are depreciated over the shorter of the lease term and their useful lives. The estimated useful lives are as follows:

Leasehold Land and buildings	over the lease term
Computer equipment	3 years straight line
Fixtures, fittings and equipment	4 years straight line

Depreciation methods, useful lives and residual values are reviewed if there is an indication of a significant change since last annual reporting date in the pattern by which the company expects to consume an asset's future economic benefits.

Notes (continued)

1 Accounting policies (continued)

1.7. Impairment

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit").

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.8. Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

1.9. Turnover

Turnover represents amounts receivable for services, net of VAT. Turnover is recognised upon delivery of the service.

Notes (continued)

1 Accounting policies (continued)

1.10. Expenses

Operating lease

Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense.

Interest receivable

Interest income is recognised in profit or loss as it accrues, using the effective interest method.

1.11. Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the financial statements. The following timing differences are not provided for: differences between accumulated depreciation and tax allowances for the cost of a fixed asset if and when all conditions for retaining the tax allowances have been met; and differences relating to investments in subsidiaries to the extent that it is not probable that they will reverse in the foreseeable future and the reporting entity is able to control the reversal of the timing difference. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense.

Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date. Deferred tax balances are not discounted.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

2 Turnover

	2016 £000	2015 £000
Rendering of services	26,462	23,797
	2016 £000	2015 £000
<i>By activity</i>		
Management Consulting	26,462	23,797
<i>By geographical market</i>		
United Kingdom	21,493	15,460
Europe	2,551	1,299
Rest of the World	2,418	7,038
	26,462	23,797

Notes (continued)

3 Auditor's remuneration

Auditor's remuneration:

	2016 £000	2015 £000
Audit of these financial statements	23	23

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha FMC Group Holdings Limited.

4 Staff numbers and costs

The average number of persons employed by the Company (including directors) during the year, analysed by category, was as follows:

	Number of employees	
	2016	2015
Administrative	5	3
Sales	79	63
	<u>84</u>	<u>66</u>

The aggregate payroll costs of these persons were as follows:

	2016 £000	2015 £000
Wages and salaries	7,210	6,363
Social security costs	854	922
Contributions to defined contribution plans	130	35
	<u>8,194</u>	<u>7,320</u>

5 Directors' remuneration

	2016 £000	2015 £000
Directors' remuneration	1,760	1,576
Company contributions to money purchase pension plans	28	13

	Number of directors	
	2016	2015
Retirement benefits are accruing to the following number of directors under:		
Money purchase schemes	-	-

The highest paid director received £300,000 (2015: £306,000) for his services to the company.

Notes (continued)

6 Other interest receivable and similar income

	2016 £000	2015 £000
Interest receivable on financial assets at amortised cost	13	6

Interest receivable and similar income includes income from group undertakings of £nil (2015: £nil).

7 Taxation

Total tax expense recognised in the profit and loss account

	2016 £000	2015 £000
<i>Current tax</i>		
Current tax on income for the period	818	643
Adjustments in respect of prior periods	(18)	(11)
Total current tax	800	632
<i>Deferred tax (note 12)</i>		
Origination and reversal of timing differences	10	23
Total deferred tax	10	23
Total tax	810	655

Reconciliation of effective tax rate

	2016 £000	2015 £000
Profit for the year	4,923	4,054
Total tax expense	(810)	(655)
Profit excluding taxation	5,733	4,709
Tax using the UK corporation tax rate of 20% (2015: 21%)	1,146	992
Reduction in tax rate on deferred tax balances	(1)	-
Non-deductible expenses	19	8
Tax exempt revenues	(22)	-
Fixed asset differences	6	3
Group relief surrendered/(claimed)	(342)	(335)
Other short term timing differences	22	(2)
Under / (over) provided in prior years	(18)	(11)
Total tax expense included in profit or loss	810	655

Reductions in the UK corporation tax rate from 21% to 20% (effective from 1 April 2015), were substantially enacted on 2 July 2013. Further reductions to 19% from 1st April 2017 were enacted in 2015 and in the Summer budget 2016, the Chancellor announced additional planned reductions to 17% from 2020. This will reduce the company's future current tax charge accordingly.

Notes (continued)

8 Tangible fixed assets

	Leasehold land and buildings £000	Computer equipment £000	Fixtures, fittings and equipment £000	Total £000
Cost				
Balance at 1 April 2015	199	231	82	512
Other acquisitions	3	84	26	113
Disposals	-	(4)	(14)	(18)
Balance at 31 March 2016	202	311	94	607
Depreciation and impairment				
Balance at 1 April 2015	53	145	33	231
Depreciation charge for the year	26	56	19	101
Disposals	-	(1)	(3)	(4)
Balance at 31 March 2016	79	200	49	328
Net book value				
At 31 March 2016	123	111	45	279
At 31 March 2015	146	86	49	281

9 Debtors

	2016 £000	2015 £000
Trade debtors	4,528	4,319
Amounts owed by group undertakings	5,139	916
Other debtors	44	64
Prepayments and accrued income	737	540
	10,448	5,839

All debtors are due within one year.

10 Creditors: amounts falling due within one year

	2016 £000	2015 £000
Trade creditors	757	782
Amounts owed to group undertakings	539	180
Taxation and social security	1,292	1,159
Accruals and deferred income	2,582	2,485
	5,170	4,606

Notes (continued)

11 Deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	Assets		Liabilities		Net	
	2016 £000	2015 £000	2016 £000	2015 £000	2016 £000	2015 £000
Accelerated capital allowances	-	-	24	27	24	27
Other	(11)	(4)	-	-	(11)	(4)
Net tax (assets) / liabilities	(11)	(4)	24	27	13	23

In addition to the deferred tax asset above, the Company has no unrecognised gross tax losses (2015: £nil).

12 Capital and reserves

Share capital

	2016 £000	2015 £000
<i>Allotted, called up and fully paid</i>		
275,000 ordinary shares of £1 each	275	275
Shares classified in shareholders' funds	275	275

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

After the balance sheet date no dividends were proposed by the directors.

13 Operating leases

Non-cancellable operating lease rentals are payable as follows:

	2016 £000	2015 £000
Less than one year	-	-
Between one and five years	261	247
More than five years	-	-
	261	247

During the year £212,000 was recognised as an expense in the profit and loss account in respect of operating leases (2015: £ 237,000).

14 Related parties

Identity of related parties with which the Company has transacted

The company has made no transactions with related parties during the year.

Notes (continued)

15 Ultimate parent company and parent company of larger group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Group Limited. The ultimate parent is Caelius Topco Ltd and the ultimate controlling party is Dunedin LLP.

The largest and smallest group in which the results of the Company are consolidated is that headed by Alpha FMC Group Holdings Limited, incorporated in England and Wales. The consolidated financial statements of the group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

16 Accounting estimates and judgements

Key sources of estimation uncertainty

There is no significant estimation uncertainty.

17 Explanation of transition to FRS 102 from old UK GAAP

As stated in note 1, these are the Company's first financial statements prepared in accordance with FRS 102.

The accounting policies set out in note 1 have been applied in preparing the financial statements for the year ended 31 March 2016 and the comparative information presented in these financial statements for the year ended 31 March 2015.

In preparing its FRS 102 balance sheet, the Company has adjusted amounts reported previously in financial statements prepared in accordance with its old basis of accounting (UK GAAP). An explanation of how the transition from UK GAAP to FRS 102 has affected the Company's financial position and financial performance is set out in the following tables and the notes that accompany the tables.

Reconciliation of profit/loss and equity from old GAAP to FRS 102

	Note	Profit for the year ended 31 March 2015 £000	Equity as at 31 March 2015 £000	Equity as at 1 April 2014 £000
Amount under old GAAP		4,069	5,782	6,563
Holiday pay accrual	a	(15)	(108)	(94)
Amount under FRS 102		<u>4,054</u>	<u>5,674</u>	<u>6,469</u>

Notes to the reconciliation of profit

- a) The cost of accrued but untaken holiday